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Paper No. 03

MIDTERM EXAMINATION
Spring 2010
MGT602- Entrepreneurship
Time: 60 min
Marks: 47

Question No: 1 (Marks: 1) - Please choose one
Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?
► Locus of control
► Feeling about independence
► Need for achievement
► **Risk taking**
Ref: However, it has not yet been empirically established whether risk-taking is a distinguishing characteristics of entrepreneurs. **(See Handouts Page No. 22)**

Question No: 2 (Marks: 1) - Please choose one
A typical inventor is usually _____.
► **Highly creative & in love with the invention**
► Does not encourage change
► Willing to modify the invention in order to augment commercial benefit
► None of the given options
Ref:while the inventor falls in love with the invention. **(Handouts Page No. 28)**

Question No: 3 (Marks: 1) - Please choose one
The level at which an individual is viewed by society is called:
► Financial status
► Qualification
► **Social status**
► Achievement
Ref: Social status: The level at which an individual in viewed by society **(Handouts Page No. 25)**

Question No: 4 (Marks: 1) - Please choose one
An individual's need to be recognized is called:
► Need for independence
► Need for affiliation
► Need of fame
► **Need for achievement**
Ref: Need for achievement: An individual's need to be recognized **(Handouts Page No.25)**

Question No: 5 (Marks: 1) - Please choose one
Which one of the following is an important source of idea generation due to their familiarity with the needs of market?
► Existing products and services
► **Distribution channels**
► Federal government
► Consumers

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Ref: Distribution Channels: Members of distribution channels are also excellent sources for new ideas because they are familiar with the needs of the market. **(See the Handouts Page No. 39)**

Question No: 6 (Marks: 1) - Please choose one

The concept of World Wide Web pages was developed in:

► 1960s
► 1970s
► 1980s
► **1990s**

Ref: In the early 1990s the concept of World Wide Web pages was developed. **(Handouts Page No. 44)**

Question No: 7 (Marks: 1) - Please choose one

Which one of the following can serve entrepreneur as a consultant of the business plan?

► Lawyers
► Accountants
► Marketers
► All of the given options

Ref: The business plan should be prepared by the entrepreneur; however, he or she may consult many sources. Lawyers, accountants, marketing consultants, and engineers are useful supplemental sources. **(Handouts Page No. 54)**

Question No: 8 (Marks: 1) - Please choose one

How many perspectives should be considered while preparing business plan?

► One
► **Three**
► Four
► Not specific

Ref: Three perspectives need to be considered **(Handouts Page No. 54)**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a powerful marketing tool for expansion of business in new market?

► **Licensing**
► Product safety
► Insurance
► Copy rights

Ref: Licensing has significant value as a marketing strategy to holders of patents **Page 50**

Question No: 10 (Marks: 1) - Please choose one

Which one of the following can be registered under design patent?

► New product
► Original product
► Ornamental
► **All of the given options**

Ref: Covering new, original, ornamental, and unobvious designs for articles, a design patent reflects the appearance of an object**. (Handouts Page No. 47)**

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a characteristic of a good partner?

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► Help to achieve goals
► Share entrepreneur's vision
► Do not exploit the partnership
► **All of the given options**

Question No: 12 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country by taking care of transactions?

► Indirect exporting
► **Direct exporting**
► Importing
► Management contract

Ref: Direct exporting: Selling goods to another country by taking care of the transaction. **(Handouts page No. 32)**

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is the way by which an entrepreneur can enter into international business?

► Export
► Non equity arrangements
► Direct foreign investment
► **All of the given options**

(Handouts Page No. 30 n 31)

Question No: 14 (Marks: 1) - Please choose one

Most of the finance for the new firm comes from following resources **EXCEPT**:

► Friends
► **Foreign aid**
► Relatives
► Personal savings

Ref: After the entrepreneur, family and friends are the next most common source of capital. **(Handouts Page No. 82)**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following receives highest investment?

► Public company
► Life style
► **High potential venture**
► Foundation firm

Ref: High-potential ventures: A venture that has high growth potential and therefore receives great investor interest **(Handouts Page No. 07)**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a second step in the entrepreneurial process?

► **Developing successful business ideas**
► Deciding to become an entrepreneur
► Growing the entrepreneurial firm
► Moving from an idea to an entrepreneurial firm

(Handouts page No. 13)

Question No: 17 (Marks: 1) - Please choose one

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Which of the following is **NOT** included in the opportunity evaluation process?
► Length of the opportunity
► Real and perceived value of opportunity
► **Goals and objectives of customers**
► Risks and rewards of opportunity
Ref: a. the evaluation process involves looking at
b. The creation and length of the opportunity
c. Its real and perceived value
d. Its risks and return.
e. It's fit with the skills and goals of the entrepreneur
f. Its differential advantage in its competitive environment **(Handouts Page No. 13)**
Question No: 18 (Marks: 1) - Please choose one
Which one of the following is true regarding female entrepreneurs?
► currently the number of companies owned by female entrepreneurs exceeds those owned by their male counterparts
► Women-owned businesses grow thrice that national rate for all private companies
► 53 percent of all private companies are women-owned businesses
► **One-third of women-owned businesses are connected with health care and social services**
Ref: The latest figures from the Small Business Administration put the number of women business owners at 9.1 million. They have grown twice the national rate for all private companies from 1997 to 2002, with nearly one-third of them concentrated in health care and social services.
Question No: 19 (Marks: 1) - Please choose one
All of the following are true regarding male entrepreneurs **EXCEPT:**
► Typically most male entrepreneurs are first-borns
► Dissatisfaction with present job is a departure point for a male entrepreneur
► Male entrepreneurs mostly have a occupational background of middle-management or administrative-experience in the field
► Male entrepreneurs tend to be opinionated and persuasive in their approach
Ref:
(See the Question No. 08)
Question No: 20 (Marks: 1) - Please choose one
In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:
► 15 and 22
► **22 and 45**
► 45 and 57
► 57 and 63
Ref: In chronological age, most entrepreneurs start their careers between ages 22 and 55 **(Handouts page No. 24)**
Question No: 21 (Marks: 1) - Please choose one
It has been observed that usually the entire country is organized under single:
► **Economic system**
► Culture

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► Living standard
► Legal environment

Ref: A domestic business strategy is designed under a single economic system **(Handouts Page No. 29)**

Question No: 22 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements **EXCEPT:**

► Licensing
► Management contracts
► Direct export
► Turnkey projects

Ref: Handouts Page No. 31

Question No: 23 (Marks: 1) - Please choose one

Which of the following abilities must be possessed by an entrepreneur?

► Creative
► Conceptualization
► Understanding environment
► **All of the given options**

Question No: 24 (Marks: 1) - Please choose one

An individual's desirability to form a new venture depends upon all of the following except:

► Culture
► Family
► Teachers
► **Personal savings**

Ref: The perception that starting a new company is desirable results from an individual's culture, subculture, family, teachers and peers. **(Handouts Page No. 06)**

Question No: 25 (Marks: 1) - Please choose one

Identify the type of innovation which refers to new products with significant technological advancement.

► Ordinary innovation
► **Technological innovation**
► Breakthrough innovation
► Technical innovation

Ref: Technological innovations refer to new products with significant technological advancements**. (Handouts Page No. 08)**

Question No: 26 (Marks: 1) - Please choose one

"Management of enterprise" is an important aspect of entrepreneurial process. Which involves all of the following EXCEPT:

► Implementation of management style
► Determination of key variables for success
► Implementation of control system
► Creation of opportunity

Ref: After resources are acquired, the entrepreneur must use them to implement the business plan. The operational problems of the growing enterprise must also be examined. This involves implementing a management style and structure, as well as

determining the key variables for success.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a goal of an intrapreneurial culture?

► To take responsibility and ownership
► To be rewarded for actions taken
► To develop visions, goals, and action plans
► **To follow given instructions**

Ref: The guiding principles of intrapreneurs:
Aspects of an Entrepreneurial culture are quite different:
1. Develop visions, goals, and action plans
2. Be rewarded for actions taken
3. Suggest, try, and experiment
4. Create and develop
5. Take responsibility and ownership

However To follow given instructions is the corporate culture principle **(Handouts Page No. 18)**

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines "minority interest"?

► **It refers to having less than 50 percent ownership position**
► It refers to forming a third company by combining two companies
► It refers to having more than 50 percent ownership position
► It refers to selling goods made in one country to another country

Ref: Minority interest: Having less than 50 percent ownership position (Handouts Page No. 36)

Question No: 29 (Marks: 1) - Please choose one

Which of the following techniques is an excellent method for initial screening of ideas and concepts?

► Focus group
► Problem inventory analysis
► Brain Storming
► Reverse brainstorming

Ref: 4. the focus group is also an excellent method for initial screening of ideas and concepts. http://acdemics.blogspot.com/2010/08/reverse-brainstorming.html

Question No: 30 (Marks: 1) - Please choose one

Which of the following is an idea generation method that focuses on parameters?

► Brainstorming
► Reverse brainstorming
► Creative problem solving
► Synectics

Ref: Creative problem solving is a method for obtaining new ideas focusing on the parameters. **(Handouts Page No. 40)**

Question No: 31 (Marks: 1) - Please choose one

Which of the following best describes "contract"?

► **It refers to a legally binding agreement between two parties**
► It grants holder protection from others making, using or selling similar idea

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► It may be a word, symbol, design or some combination that identifies the source of certain goods
► It refers to a legal document giving official permission to do something
Ref:CONTRACT A legal agreement between two or more parties to do or not to do certain things. It may be oral or in writing.
http://www.stringhamschools.com/content/?page=42

Question No: 32 (Marks: 1) - Please choose one
There are three perspectives that should be considered when preparing the plan. Which of the following does NOT refer to the plan?
► Entrepreneurial perspective
► Marketing perspective
► Investor's perspective
► **Religious perspective**
Ref: Three perspectives need to be considered:
The **entrepreneur** understands the new venture better than anyone. The **marketing** perspective considers the venture through the eyes of the customer. The **investor** looks for sound financial projections. The depth of the business plan depends on the size and scope of the proposed venture. **(Handouts page No. 54)**

Question No: 33 (Marks: 1) - Please choose one
Business plan should be prepared by an entrepreneur. All of the following should be consulted while preparing this plan EXCEPT:
► Lawyers
► Accountants
► Marketing consultants
► **General public**
Ref: The business plan should be prepared by the entrepreneur; however, he or she may consult many sources. Lawyers, accountants, marketing consultants, and engineers are useful supplemental sources. **(Handouts page No. 54)**

Question No: 34 (Marks: 1) - Please choose one
Data that support the opportunity for the venture should be briefly stated in the executive summary. If this venture is an internet business, all of the following facts should be stated by an entrepreneur EXCEPT:
► Growth in the number of internet users
► Growth in the average amount of time spent on the internet
► Growth in sales dollars generated on the internet
► **Growth rate of population**

Question No: 35 (Marks: 3)
What is copyright? What are its limitations?
A copyright protects original works of authorship. The protection does not protect the idea itself. It is a set of exclusive rights granted by the law of a jurisdiction to the author or creator of an original work, including the right to copy, distribute and adapt the work. It allows someone else to use the idea in a different manner.
It's Limitation:
Exceptions and limitations to these rights strive to balance the public interest in the wide distribution of the material produced and to encourage creativity. Exceptions

include fair dealing and fair use, and such use does not require the permission of the copyright owner. All other uses require permission and copyright owners can license or permanently transfer or assign their exclusive rights to others. Copyright does not protect ideas, only their expression or fixation. In most jurisdictions, copyright arises upon fixation and does not need to be registered. Copyright protection applies for a specific period of time, after which the work is said to enter the public domain.

Question No: 36 (Marks: 5)

While using brain storming for new idea creation what measures should be taken to acquire a good idea?

You can often get the best results by combining individual and group brainstorming, and by managing the process carefully and according to the "rules" below. That way, you get people to focus on the issue without interruption (this comes from having everyone in a dedicated group meeting), you maximize the number of ideas you can generate, and you get that great feeling of team bonding that comes with a well-run brainstorming session!

To run a group brainstorming session effectively, do the following:

☐ Find a comfortable meeting environment, and set it up ready for the session.

☐ Appoint one person to record the ideas that come from the session. These should be noted in a format than everyone can see and refer to. Depending on the approach you want to use, you may want to record ideas on flip charts, whiteboards, or computers with data projectors.

☐ If people aren't already used to working together, consider using an appropriate warm-up exercise or ice-breaker.

☐ Define the problem you want solved clearly, and lay out any criteria to be met. Make it clear that that the objective of the meeting is to generate as many ideas as possible.

☐ Give people plenty of time *on their own* at the start of the session to generate as many ideas as possible.

☐ Ask people to give their ideas, making sure that you give everyone a fair opportunity to contribute.

☐ Encourage people to develop other people's ideas, or to use other ideas to create new ones.

☐ Encourage an enthusiastic, uncritical attitude among members of the group. Try to get everyone to contribute and develop ideas, including the quietest members of the group.

☐ Ensure that no one criticizes or evaluates ideas during the session. Criticism introduces an element of risk for group members when putting forward an idea. This stifles creativity and cripples the free running nature of a good brainstorming session.

☐ Let people have fun brainstorming. Encourage them to come up with as many

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ideas as possible, from solidly practical ones to wildly impractical ones. Welcome creativity!

☐ Ensure that no train of thought is followed for too long. Make sure that you generate a sufficient number of different ideas, as well as exploring individual ideas in detail.

☐ In a long session, take plenty of breaks so that people can continue to concentrate.

Question No: 37 (Marks: 5)

While developing the web site what characteristics should be kept in mind?

1. The pleasant outlook of a website is the first important thing to keep in mind. Too much use of pattern or colors can drive the viewers away.
2. DO NOT use unnecessary audio or video. I once opened a site where a woman started speaking something as soon as the site opened. It startled me and I closed it immediately. So don't let that happen. Correct use of flash will make the website attractive but too much of it might distract the visitors from the main goal. We do not want to do that.
3. Don't put a welcome page where you have to click and enter your main page. Wasting time there might drive the visitors away.
4. The website shouldn't take a lot of time to load. Visitors might not have so much of patience and that means they'll leave your site immediately
5. Unnecessary banners ads or links. Unless you are an advertiser, banner ads or link ads can drive potential customers away. Even if you have to do so use a pop-up to open a certain link, making sure the visitors still have your window open.
6. Avoid using colorful fonts, use of many fonts or use of unreadable fonts. As I said pleasant outlooks keeps the visitors hooked on your site
7. Keep the color of links constant. The formal color for links is blue, underlined. If the color of the normal text and that of the link is same the visitors wouldn't know the difference.
8. Avoid using lot of graphics or images that are hard to load. Unless you are selling different products, do not use many graphics, images making you page hard to load.
9. Headline plays a significant role in attracting customers. Hence use catchy phrases for the headline, it'll work well.
10. The 10th and the most important is the content. Relevant content is the best way to keep the visitors hooked up and more over buy what you are selling. Correct use of words and sentences not only attracts the prospects but also helps the search engines to crawl it easily. Proper content, with relevant use of keywords is a MUST.